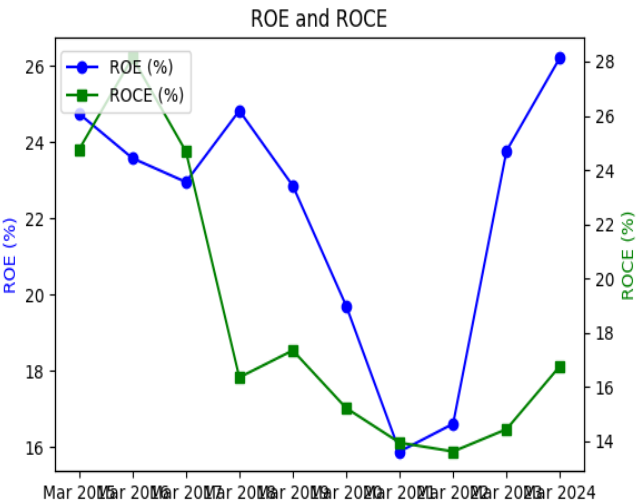
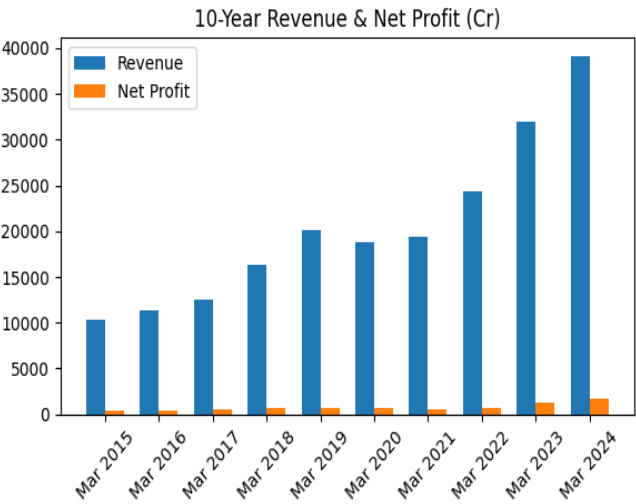
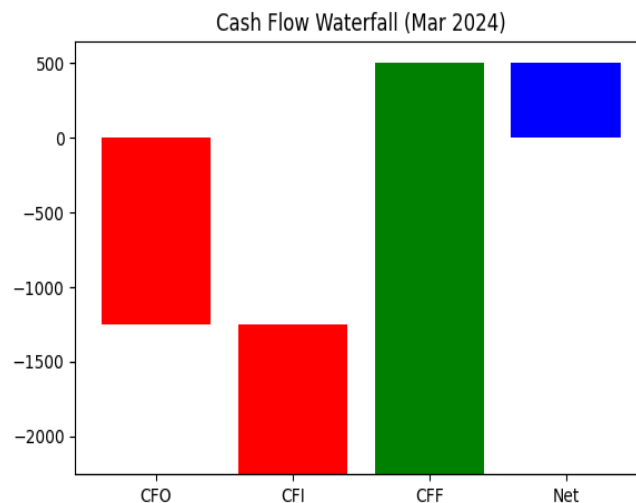
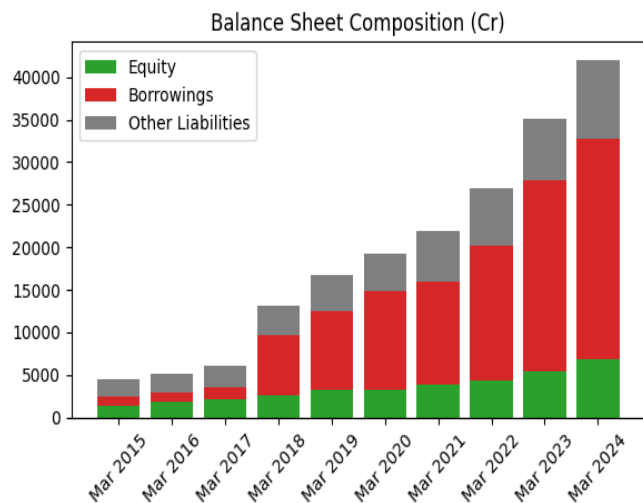


TVS Motor Company Ltd (TVSMOTOR)

Revenue ■42,886 Cr	Net Profit ■2,094 Cr	ROE 26.2%
ROCE 16.8%	CFO Quality Accrual Risk	Allocation Growth Funded by Debt





Pros

- Growing asset base funded by internal accruals reflects self-sustaining growth
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding

Cons

- Debt-to-equity ratio of 3.8x is elevated for a non-financial company and warrants monitoring
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Free cash flow negative for 3 consecutive years raises concern about cash generation quality

Capital Allocation Pattern: Growth Funded by Debt